1. PURPOSE

To establish a structured, documented, and auditable methodology for:

1. Determining and maintaining **Safety Stock** for discontinued solar module models
2. Ensuring accurate SAP stock reflection

This is applicable to PEL , PEPPL,PEIPL & PEGEPL

2. SCOPE

This SOP applies to Warranty claims of solar modules supplied to customers.

Applicable to:

- Legacy modules.
- Any future discontinued module series.

4. SAFETY STOCK METHODOLOGY

4.1 Safety Stock Calculation

Tolerance Band: Dispatch <=5%+/-1%

5. Basis of 5% Determination

The 5% base value is derived from:

- Historical field failure data
- Industry warranty replacement trends
- Project exposure risk
- Conservative risk buffer

➢ Review parameters:

➢ Actual warranty claim percentage

➢ Field performance data

➢ Remaining warranty period exposure

➢ Stock ageing status

➢ Cost of holding inventory

5.1 Excess Stock (>6%)

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If stock exceeds 6%:

Management must approve one of the following:

- Controlled liquidation
- Secondary market sale
- Write-down provision
- Conversion strategy
- Structured disposal

6. WARRANTY CLAIM PROCESS FLOW

STEP 1: CUSTOMER COMPLAINT RECEIPT

After sales team ask the product detail including not less then

- Module Serial Number
- Photographs
- Installation details
- Original invoice reference

Complaint logged in Customer Complaint Register

STEP 2: QA FAILURE ANALYSIS

QA conducts validation and documents:

Reason of Failure (Detailed Categorization)

- PID degradation
- Installation Breakage / failure
- Transport Failure
- Function failure
- Operation failure

Failed Module Documentation

QA team are investigated the detailed analysis for failure including root cause of failure, Containment / Correction with corrective / preventive cation with detailed overview for the failed product

MANAGEMENT DECISION

The After sale team communicated with Management and share all the necessary with warranty term & condition sign with customer. Management evaluates:

Condition	Decision
Manufacturing defect	Replacement / Credit Note
Transit damage	Case-specific
Installation fault	Reject
Force majeure	Reject

STEP 4: CUSTOMER COMMUNICATION

After the management approval After Sales team communicates with the customer :

- Approval decision
- Timeline
- Dispatch details (if replacement)
- Credit notes details (if applicable)

After the customer suggestion / requirement communicated management for further permission

6.3.1 Decision Criteria for Replacement vs Credit Note

Replacement preferred when:

- Module model still compatible
- Project contractual obligation requires physical replacement
- Field mismatch risk exists

Credit Note preferred when:

- Replacement logistics cost high
- Model obsolete
- Majority historical cases (e.g., 98%) settled via credit note

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- Commercially viable settlement

1. **Email Approval** must be obtained from the authorized approving authority and audit verification.
2. **Sap Workflow Approval** The workflow should reflect the correct hierarchy, cost center, and authorization matrix. System approval ensures digital traceability, financial control, and compliance with internal control requirements.
3. **Signed Internal Approval** must be prepared detailing the background, justification, financial impact, risk assessment, and management recommendation.

Credit Note issued:

Finance:

- Issues credit note referencing original invoice
- Updates customer ledger
- Maintains approval documentation

SAP:

- No physical stock movement
- Documented settlement reference

STEP 5: REPLACEMENT EXECUTION PROCES

6.5.1 Store Intimation

After Sales team submits to store :

- Quantity required
- Model specification
- Management approval reference

6.5.2 Safety Stock Check

Stores verifies Current stock level.

6.5.3 FOC Invoice Generation

Finance issues:

- FOC Tax Invoice
- Reference to original invoice
- Warranty claim reference

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- Zero commercial value
- GST compliance note

Description must state:

"Warranty Replacement – No Commercial Value"

Monthly Reconciliation

Conducted by Finance

Reconcile:

- Physical count
- SAP stock
- Warranty register
- Ageing report

STEP 5: STOCK REVIEW MECHANISM

The stored stocks need to review in every 6 months for condition checking and physical count.

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